All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

Section 1.4 — The Next Reassessment: The AISH-to-ADAP Transition, July 1, 2026

This document is being written and circulated in the months immediately preceding July 1, 2026 — the date on which the Government of Alberta's restructuring of the Assured Income for the Severely Handicapped program into the Alberta Disability Assistance Program takes effect. The transition is the immediate operational threat to seventy-nine thousand two hundred and ninety Albertans currently receiving AISH. (*Source: Government of Alberta — Assisted Living and Social Services Open Data, AISH Caseload September 2025.*) The structural mechanics of the transition are documented across the Alberta Disability System Breakdown Evidentiary Report Series, the Compound Failure Brief, the Consultation Gap Rebuttal, and the Coalition and UN CRPD Addendum. This Section integrates the central facts into the lifecycle architecture this document is naming, without restating the full evidentiary record.

The single most important lifecycle observation about the AISH-to-ADAP transition is this: it is a reassessment. The applicant who completed the AISH process in 2024, who found the physician, completed the Part B, liquidated retirement savings, depleted personal supports, and waited months or years for adjudication, is now subject to a reassessment that may move them onto a lower-paying program with reduced rights. The investment of time, money, medical effort, and emotional energy in the original application is not preserved. The reassessment can functionally undo it. This is the lifecycle pattern named throughout this document. AISH is a reassessment of FSCD and PDD eligibility. ADAP is a reassessment of AISH eligibility. CPP retirement at 65 is a reassessment of the working-age earnings record. Long-term care entry is a financial reassessment of the senior. The system reassesses continuously. Each reassessment is an opportunity for the system to reduce what the recipient receives.

What ADAP is

The Alberta Disability Assistance Program will replace AISH for most current recipients on July 1, 2026. (*Source: Government of Alberta — ADAP program page, 2026; Bill 12,* Disability Assistance Programs Act*, December 2025.*) The base monthly benefit under ADAP is one thousand seven hundred and forty dollars — two hundred dollars per month less than the current AISH benefit of one thousand nine hundred and forty dollars. (*Source: Government of Alberta — ADAP program page; Inclusion Alberta — ADAP Fact Sheet, December 2025.*) The two-hundred-dollar-per-month difference is offset, on a temporary basis, by a transition supplement that ends on December 31, 2027. After that date, the recipient receives one thousand seven hundred and forty dollars per month with no supplement.

The cost-of-living indexing that applied to AISH benefits — legislated at two per cent annually — has been removed under the ADAP framework. (*Source: Inclusion Alberta — ADAP Fact Sheet, December 2025.*) Future increases to the ADAP benefit are at the discretion of the Government, with no statutory floor.

The earnings exemption — the amount a recipient may earn from employment without it reducing their benefit — has been substantially reduced. Under current AISH rules, a single recipient may earn up to one thousand and seventy-two dollars per month before exemption-reduction begins. Under the ADAP framework, the exemption is seven hundred dollars per month. Under the post-July-2026 AISH framework — for recipients who remain on AISH after the transition — the exemption is reduced to three hundred and fifty dollars. (*Source: Government of Alberta — ADAP program page; Inclusion Alberta — ADAP Fact Sheet, October and December 2025.*)

The Government's public framing of the seven-hundred-dollar ADAP exemption has been to describe it as "the highest employment income limit among comparable disability income assistance programs in Canada." This framing compares ADAP's seven-hundred-dollar exemption to the new AISH three-hundred-and-fifty-dollar figure rather than to the current AISH one-thousand-and-seventy-two-dollar figure. The correct comparison is the current figure to the new figure. ADAP's exemption is a three-hundred-and-seventy-two-dollar reduction from what AISH recipients currently have. The new AISH exemption is a seven-hundred-and-twenty-two-dollar reduction. There is no version of these changes that is better than what currently exists.

Who chooses, and how

Under the ADAP framework, AISH recipients are not asked which program they would prefer to be on. The transition is automatic. On July 1, 2026, all current AISH recipients other than those who have successfully applied to remain on AISH through the new Medical Review Panel process are moved to ADAP. (*Source: Bill 12,* Disability Assistance Programs Act*; Government of Alberta — ADAP transition page, 2026.*) The successful application to remain on AISH requires a fresh Part B Medical Report from a treating physician — the same Part B that the original AISH application required, completed under the same primary-care conditions documented in Section 1.3.

Seventy-nine thousand two hundred and ninety Albertans seeking a fresh Part B medical signature in a province with six hundred and fifty thousand people without a family physician is not an operational plan. It is a policy structure that produces denials by attrition. Recipients who cannot obtain the Part B in time are moved to ADAP by default. The default is the lower-paying program with reduced rights.

What the Medical Review Panel is

Section 1.3 documented that Bill 12 abolished the independent Citizens Appeal Panel. The Medical Review Panel that replaces it is the body that adjudicates applications to remain on AISH after the July 1, 2026 transition. The Panel is composed of medical professionals selected by the Government. Its decisions are final. There is no independent appeal from a Medical Review Panel decision.

The lifecycle implication is direct. A recipient who successfully obtained AISH in 2018, was reassessed and approved for continued eligibility in 2021, and successfully appealed an adverse decision in 2023 through the then-existing independent Citizens Appeal Panel, faces, in 2026, a fresh adjudication by a panel that did not previously exist, on standards that have not been published in operational form, with no independent appeal available. The recipient's twelve-year history of qualifying for AISH does not bind the Medical Review Panel. The Panel adjudicates the application before it. If it denies the application to remain on AISH, the recipient transitions to ADAP at the lower benefit level with no further recourse on the merits.

This is the operational mechanism the United Nations Committee on the Rights of Persons with Disabilities has identified as a violation of CRPD Article 12 — equal recognition before the law. (*Source: United Nations Committee on the Rights of Persons with Disabilities — Concluding Observations on Canada, March 2025.*) Seventy-nine thousand two hundred and ninety formal findings of permanent disability — the determinations on which AISH eligibility was granted across the existing caseload — are reversed without new evidence, without individual process, without explanation, by operation of statute. Canada's ratification of the CRPD commits it to protecting legal capacity for persons with disabilities. Bill 12 reverses that protection.

The CDB clawback

The Canada Disability Benefit, created under federal legislation in 2024 and paying up to two hundred dollars per month to eligible disabled Canadians under the age of sixty-five, was designed to lift recipients above the federal poverty line. (*Source:* Canada Disability Benefit Act*, S.C. 2023, c. 17; Employment and Social Development Canada — Canada Disability Benefit page, 2025.*) Alberta is the only province in Canada that claws back the CDB dollar-for-dollar from AISH benefits. (*Source: Inclusion Alberta — Canada Disability Benefit in Alberta Fact Sheet, July 2025; Petit, G., Canadian Tax Observatory, April 2026; Government of Alberta — AISH benefits, 2026.*) The recipient receives the federal payment as part of their bank deposit. The provincial system reduces the AISH or ADAP cheque by the same amount in the next payment cycle. The net benefit to the recipient is zero. The federal investment is captured by the province.

The Petit analysis published by the Canadian Tax Observatory in April 2026 documents this pattern at length and identifies it as a structural fiscal-transfer-capture mechanism unique to Alberta within the Canadian provincial system. (*Source: Petit, G., "The Canada Disability Benefit and Provincial Clawback: A Fiscal Transfer Analysis," Canadian Tax Observatory, April 22, 2026.*) The federal government has not, as of the date of this document, conditioned its disability transfer payments to Alberta on non-clawback compliance. The campaign's federal submission to the House of Commons Standing Committee on Human Resources, Skills and Social Development and the Status of Persons with Disabilities (HUMA) in April 2026 calls for the federal government to do exactly that.

The CPP-D clawback at the working-age stage

Sixteen thousand one hundred and sixty-one Albertans on AISH — twenty point four per cent of the entire AISH caseload as of September 2025 — receive Canada Pension Plan Disability benefits from contributions they made during their working years. (*Source: Government of Alberta — Assisted Living and Social Services Open Data, AISH Caseload September 2025.*) Every dollar of CPP-D received is deducted dollar-for-dollar from the recipient's AISH benefit. The recipient's net total income is identical to the income of a person who never worked a day in their life and never made a CPP contribution.

The lifecycle observation is the central one for this Section. The blue-collar worker traced through Sections 1.1 and 1.2 — the welder, the heavy equipment operator, the long-haul driver — paid into CPP every working year. If their disability ends their employment and they qualify for CPP-D, they receive a federal benefit they earned through years of contribution. In Alberta, the province captures every dollar of that benefit through the AISH offset. The worker's working-life contribution is rendered worthless at the moment they need it. This is not an accident of program design. It is a deliberate provincial policy that has persisted across multiple Alberta governments, and it has not been reformed under the ADAP transition. Inclusion Alberta, the Public Interest Alberta, the Canadian Centre for Policy Alternatives, and the federal Liberal government's own analysis in the Canada Disability Benefit consultation papers have all identified the offset as inconsistent with the purpose of CPP-D. The offset continues. The province has not, in any public statement, committed to ending it under the ADAP framework. The default presumption — until the Government publishes different rules — is that the offset continues.

What the recipient experiences

The current AISH recipient, on July 1, 2026, will experience the following without acting:

- A two-hundred-dollar-per-month base benefit reduction (offset temporarily by a supplement ending December 31, 2027)
- A three-hundred-and-seventy-two-dollar reduction in the monthly employment income exemption
- The removal of statutory cost-of-living indexing
- The continuation of the CDB clawback
- The continuation of the CPP-D dollar-for-dollar offset
- The replacement of the independent Citizens Appeal Panel with the Medical Review Panel
- The continuation of the call centre as the primary contact point with the program
- A new requirement, under ADAP, to participate in a personalized employment action plan with a case manager

The personalized employment action plan requirement is the single most consequential operational change for many recipients. It applies to all ADAP recipients except those who have been determined to be not employable. The determination of "not employable" rests with the Government's adjudication staff. Recipients who are determined to be employable — under criteria the Government has not published — must participate in a planning process, with consequences for benefit continuation if they do not. (*Source: Inclusion Alberta — ADAP Fact Sheet, December 2025.*) The case-manager capacity required to deliver seventy-nine thousand individual employment action plans does not exist. The funding to create it has not been announced. The plans, in operational reality, are likely to be administered through the same call centre that replaced the individual caseworkers in 2024.

This is the next reassessment. It is the proximate operational reality for current AISH recipients in Alberta as this document is written. Sections 1.5 and 1.6 walk the family-level operational reality of the cohabitation rule and the partnership penalty as they will operate under the ADAP framework, which is to say, as they have operated under AISH and continue to operate.

The lifecycle observation

Each program along the cascade — WCB, AISH, ADAP, CPP-D, CPP retirement, OAS, GIS, long-term care — has its own eligibility rules, its own benefit formula, its own appeal architecture, its own institutional culture, and its own pattern of capture and clawback. The rules are not coordinated across programs. The recipient navigates each one separately. The one consistent feature across all of them is that the recipient receives the minimum each program is structured to deliver, and the maximum extraction is performed on each transition between programs.

The recipient who survived the WCB cascade through the AISH application through the Bill 12 reassessment, and who arrives at ADAP on July 1, 2026 with reduced benefit and reduced rights, has eighteen years left until the senior system begins. The senior system's reassessment apparatus is the architecture Movement Two of this document begins to walk. Section 1.5 first walks what the cohabitation rule does to the recipient's family in the working-age years before that transition.